



April 16, 2024

Senator Anne Carney
Senate Chair of the Joint Standing Committee on Judiciary
21 Angell Point Road
Cape Elizabeth, ME 04107

Representative Matt Moonen
House Chair of the Joint Standing Committee on Judiciary
53 Thomas St., #3
Portland, ME 04102

Representative Margaret O'Neil
21 Sheila Circle
Saco, ME 04072

RE: Ad Trade Letter in Opposition to Maine LD 1977

Dear Chair Carney, Chair Moonen, and Representative O'Neil:

On behalf of the advertising industry, we respectfully oppose the April 12, 2024 Committee Amendment to Maine LD 1977 (hereinafter, "LD 1977"),¹ and we offer this letter to express our non-exhaustive list of concerns about this legislation. We and the companies we represent, many of whom do substantial business in Maine, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. While we recognize the progress made to amend LD 1977, the bill still includes terms that significantly diverge from those under existing privacy laws or that are overly restrictive and lack clarity in a manner that threatens to undermine routine and beneficial data processing practices, such as legitimate and responsible advertising, that help both Maine businesses and consumers.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² By one estimate, over 20,000 jobs in Maine are related to the ad-subsidized Internet.³

¹ Maine LD 1977, Committee Amendment (Apr. 12, 2024) (131st Leg., First Special Sess., 2023) (hereinafter, "LD 1977").

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#).

³ *Id.* at 127.

I. Maine Should Harmonize Its Definition of Targeted Advertising With the Definition That Appears in All Other State Laws That Define This Term

LD 1977 defines “targeted advertising” in a way that diverges from every other state privacy law that defines this term.⁴ Where every other state bases their definitions on information acquired “over time” and consumer activities “across nonaffiliated” websites, applications, or online properties, LD 1977 instead excludes such references from its definition. Additionally, LD 1977’s definition includes advertisements selected (1) in response to a consumer’s request for information or feedback, and (2) based on personal data from a consumer’s activities within a controller’s own website or apps, or (3) based on the context of a consumer’s current search query or visit to a website or app. Other state privacy laws *expressly exempt* these three practices from their definitions of targeted advertising, recognizing them as routine and reasonable data practices that need not be subject to the same restrictions. This stark divergence in the Maine bill would create onerous compliance hurdles for businesses and deprive Maine consumers and businesses alike of useful advertising practices that their peers in other states would continue to enjoy. We strongly urge Maine to amend its definition to align with the definition under all other state privacy laws by (1) addressing information acquired over time and across nonaffiliated online properties and (2) exempting the three advertising practices identified above.

II. LD 1977 Should Clarify Its Data Minimization Standards to Avoid Overly Burdensome and Contradictory Terms

LD 1977 would require businesses to limit the processing of personal data to what is reasonably necessary and proportionate for certain purposes.⁵ However, these amended provisions fail to clarify that a business may process personal data as reasonably necessary and proportionate to provide a specific product or service *or* as reasonably necessary to and compatible with the disclosed purposes for which the personal data is processed. Without this clarification, the bill could be read as requiring both conditions to be fulfilled, which would be contradictory and unduly burdensome for businesses while failing to offer additional protections for consumers. If left ambiguous, these data minimization terms could significantly restrict Maine businesses from using data for any purpose other than servicing the specific product or service requested by the consumer. Under one interpretation of the vague language, a Maine business could not use data to develop new products or services for that customer or market its products, services, or discounts to that customer. The data processing limitation would also eliminate access to third-party data needed by Maine businesses to reach new customers and better serve existing customers. The lack of clarity could create an environment where consumers in neighboring states, such as New Hampshire, will enjoy access to services that will be unavailable to consumers in Maine. Unfortunately, the ambiguous provision will disproportionately impact small, start-up, and mid-size Maine businesses that have

⁴ Compare LD 1977 § 9602(28) with Colo. Rev. Stat. § 6-1-1303(25) (defining “targeted advertising”); *see also* Conn. Gen. Stat. § 42-515(28); Del. Code Ann. tit. 6, § 12D-102(33); Fla. Stat. § 501.702(33); Ind. Code. § 24-15-2-30; Iowa Code § 715D.1(28); Kentucky HB 15 § 1(30); Maryland SB 541 § 14-4601(HH); Montana SB 384 § 2(25); N.H. Rev. Stat. Ann. § 507-H:1(XXIX); New Jersey SB 332 § 1; Oregon SB 619 § 1(19); Tennessee HB 1181 § 47-18-3201(28); Tex. Bus. & Com. Code § 541.001(31); Utah Code Ann. § 13-61-101(34); Va. Code Ann. § 59.1-575.

⁵ LD 1977 § 9606(1).

relatively smaller compliance capacities to start with and that rely on access to data to reach audiences for new and niche products, making neighboring states more friendly to small and mid-size businesses than Maine.

III. LD1977 Should Avoid Conflating Teens and Children to Protect Both Age Groups Online and Allow Them to Appropriately Benefit from the Internet and Data

The bill defines “minor” to mean an individual under 18 (“U-18”) and then prohibits businesses from selling minors’ personal data without their consent or processing minors’ personal data for targeted advertising.⁶ Meanwhile, the Children’s Online Privacy Protection Act (“COPPA”) defines a child as an individual under 13 years of age.⁷ The broad definition of a “minor” in LD 1977 would result in an environment where a toddler may be treated the same as a student about to enter college.

The bill would reduce the amount of relevant information available to Maine minors that otherwise would be at their fingertips. Shrinking the variety of content, viewpoints, voices, and information 17-year-olds can reach will not protect them but instead will ensure they will not have the same experience with the Internet as their contemporaries living in other states. Particularly, this prohibition could severely limit access to information about future options for Maine high school seniors, which would deprive them of the ability to learn about colleges, trade programs, military recruitment, employment opportunities, and a myriad of other interest areas. Maine should not enact a law that could hurt minors’ ability to plan for their futures and limit Maine minors’ ability to benefit from the greatest informational resource in modern history.

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⁶ *Id.* §§ 9602(16), 9606(3)(A).

⁷ 15 U.S.C. § 6501(1).



With more than a decade's worth of hands-on experience related to consumer privacy and controls, we would welcome the opportunity to engage further and work with you to hone a workable privacy framework that benefits Maine businesses and consumers alike. Thank you for your consideration of this letter.

Sincerely,

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CC: Members of the Joint Standing Committee on Judiciary

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